

ECO-402 Mcqs Final Term By Vu

Topper RM

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The benefit of a subsidy accrues mostly to producers: A.

In every instance.

B. If E_d/E_s is small.

C. If E_d and E_s are equal. D. If E_d/E_s is large.

When a product transformation curve is bowed out, there will be _____ in production.

A. Economies of scale

B. Diseconomies of scale

C. Diseconomies of scope

D. Economies of scope

Suppose total revenue of a monopolist increases from Rs.105 to Rs.108 as a result of increase in output from 3 units to 4 units. The marginal revenue for the 4th unit will be:

A. 4

B. 8

C. 3

D. 2

In the long run under perfect competition a firm produces at a point where:

A. Price is greater than long run average cost

B. Price is less than long run average cost

C. Price is greater than long run marginal cost

D. Price is equal to long run average cost

All of the following options are true for monopoly EXCEPT?

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- A. The profit maximizing output is the one at which marginal revenue and marginal cost are equal.
- B. The profit maximizing output is the one at which the difference between total revenue and total cost is largest.
- C. **At the profit maximizing output, price equals marginal cost.**
- D. The monopolist's demand curve is the same as the market demand curve.

In the long run, which of the following is considered a variable cost? A. All of the given options.

- B. Expenditures for raw materials.**
- C. Expenditures for capital machinery and equipment.** D. Expenditures for wages.

Average revenue for a monopolist is:

- A. Equal to marginal revenue.**
- B. Greater than marginal revenue.
- C. Less than marginal revenue. D. Greater than price.

Due to imposition of a specific tax per unit on a product imposed by the government, consumer surplus will _____ and producer surplus will _____.

- A. Increase; increase
- B. Decrease; increase
- C. Decrease; decrease
- D. **Increase; decrease**

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With respect to monopolies, deadweight loss refers to the: A.

None of the given options.

B. Lost consumer surplus from monopolistic pricing.

C. **Net loss in consumer and producer surplus due to a monopolist's pricing strategy/policy.**

D. Socially unproductive amounts of money spent to obtain or acquire a monopoly

Which of the following factors determine the firm's elasticity of demand?

A. Elasticity of market demand.

B. Number of firms.

C. Nature of interaction among firms. D. All of the given options.

The monopolist that maximizes profit:

A. Does not impose a cost on society because the selling price is above marginal cost.

B. Imposes a cost on society because the selling price is above marginal cost.

C. Does not impose a cost on society because price is equal to marginal cost.

D. Imposes a cost on society because the selling price is equal to marginal cost.

Ali knows average total cost and average variable cost for a given level of output. Which of the following costs can not be determined from this information?

A. Average fixed cost

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B. **Marginal Cost**

C. Variable cost

D. Fixed cost

Which of the following is unlikely to occur as a result of a price support program?

A. A reduction in consumer surplus.

B. An economic cost to government.

C. An increase in quantity purchased.

D. **A reduction in producer surplus.**

Imposition of an output tax on all firms in a competitive industry will result in:

A. The entry of new firms into the industry.

B. **A leftward shift in the market supply curve.**

C. A downward shift in each firm's marginal cost curve. D. A downward shift in each firm's average cost curve.

Suppose output of two automobile firms, one is producing cars and other is producing trucks, is greater than the output of another automobile firm producing both cars and trucks jointly. We can conclude that the production process involves:

A. Diseconomies of scope.

B. Decreasing returns to scale.

C. Economies of scale.

D. Increasing returns to scale.

An electric power company uses block pricing for electricity sales.

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Block pricing is an example of:

- A. Third-degree price discrimination.
- B. **Second-degree price discrimination.**
- C. Block pricing is not a type of price discrimination.
- D. First-degree price discrimination

The sum over all units produced of the difference between market price of the good and firm's marginal cost of production is: A.

Maximum profit.

- B. Marginal revenue.
- C. **Producer surplus.**
- D. Total revenue.

Suppose output of two automobile firms, one is producing cars and other is producing trucks, is less than the output of another automobile firm producing both cars and trucks jointly. We can conclude that the production process involves:

- A. Increasing returns to scale.
- B. **Economies of scope.**
- C. Economies of scale.
- D. Decreasing returns to scale

Which of the following is NOT true for monopoly?

- A. The profit maximizing output is the one at which marginal revenue is equal to marginal cost.
- B. The monopolist's demand curve is the same as the market demand curve.

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- C. The profit maximizing output is the one at which the difference between total revenue and total cost is largest.
- D. **At the profit maximizing output level, price equals marginal cost.**

Governments may successfully intervene in competitive markets in order to achieve economic efficiency:

- A. In cases of positive externalities only.
- B. In cases of negative externalities only.
- C. **In cases of both positive and negative externalities.**
- D. At no time; competitive markets are always efficient without government intervention.

Industry supply curve in short-run is horizontal summation of: A. Marginal transformation curves.

B. Short-run marginal cost curves.

C. Short-run average cost curves.

D. Short-run total cost curves.

Ali knows average total cost and average variable cost for a given level of output. Which of the following costs can not be determined from this information?

- A. Marginal Cost
- B. Variable cost
- C. **Fixed cost**
- D. Average fixed cost

The benefit of a subsidy accrues mostly to consumers: A. If E_d/E_s is small.

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B. In every instance.

C. If E_d and E_s are equal. **D. If E_d/E_s is large.**

Most of the burden of a tax per unit of output will be borne by consumers when demand is relatively _____ and supply is relatively _____.

A. Inelastic; inelastic

B. **Inelastic; elastic**

C. Elastic; inelastic

D. Elastic; elastic

The producer surplus for a market can be measured as:

A. Area under the supply curve to the left of equilibrium output.

B. **Area between the equilibrium price line and the supply curve to the left of equilibrium output.**

C. Vertical intercept of the supply curve.

D. Area under the demand curve to the left of equilibrium output.

In the long run, if a firm is facing higher average cost than the marginal cost; then certainly per unit total cost will:

A. Be at minimum level

B. Remain constant

C. Fall

D. **Rise**

The monopolist has no supply curve because:

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- A. The monopolist's marginal cost curve changes considerably over time.
- B. The relationship between price and quantity depends on both marginal cost and average cost.
- C. **The quantity supplied at any particular price depends on the monopolist's demand curve.**
- D. There is a single seller in the market.

When government imposes per unit tax on the output level produced by a monopolist, the resulting price increase will: A. Always be less than the tax.

- B. Always be more than the tax.
- C. **Not always be less than the tax.**
- D. Always be less than if a similar tax were imposed on firms in a competitive market.

Government intervention without market failure creates:

- A. Efficiency
- B. **Inefficiency**
- C. Economies of scope
- D. Economies of scale

Monopoly power explains the firm's ability to: **A.**

- Set price above marginal cost.**
- B. Equate marginal cost to marginal revenue.
- C. Set price equal to marginal cost.
- D. Set price above average variable cost.

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Which of the following measures the degree of economies of scope (SC)?

- A. $SC = (C(Q1) + C(Q2) - C(Q1, Q2)) / C(Q1)$
- B. $SC = (C(Q1) - C(Q2) - C(Q1, Q2)) / C(Q1)$
- C. **$SC = (C(Q1) + C(Q2) - C(Q1, Q2)) / C(Q1, Q2)$**
- D. $SC = (C(Q1) - C(Q2) - C(Q1, Q2)) / C(Q1, Q2)$

Which of the following is NOT associated with a high degree of monopoly power?

- A. A small number of firms in the market.
- B. Significant barriers to entry.
- C. **Significant price competition among firms in the market.**
- D. A relatively inelastic demand curve for the firm.

Due to imposition of a specific tax per unit on a product imposed by the government, consumer surplus will _____ and producer surplus will _____.

- A. Increase; increase
- B. Decrease; increase
- C. **Decrease; decrease**
- D. Increase; decrease

The long-run supply curve of an increasing cost industry is: A. Horizontal.

- B. Upward sloping.**
- C. Downward sloping.
- D. Vertical.

The supply curve for a competitive firm is:

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- A. The upward-sloping portion of its MC curve.
- B. Its MC curve above the minimum point of the ATC curve.
- C. Its entire MC curve.
- D. **Its MC curve above the minimum point of the AVC curve**

A firm never operates:

- A. On the downward-sloping portion of its ATC curve.
- B. At the minimum of its ATC curve.
- C. **On the downward-sloping portion of its AVC curve.**
- D. At the minimum of its AVC curve.

A firm in a perfectly competitive market can not affect market price by changing the amount of output because:

- A. **The firm's output is a small fraction of the entire industry's output.**
- B. The market price is determined (through regulation) by the government.
- C. The short run market price is determined solely by the firm's technology.
- D. The firm supplies a different good than its rivals.

Which of the following measures Economies of scale?

- A. **cost-output elasticity**
- B. Firm's expansion path
- C. Producer surplus
- D. Slope of Isocost line

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In the long run, if a firm is facing higher marginal cost than the average cost; then certainly per unit total cost will:

- A. Rise**
- B. Fall**
- C. Remain constant**
- D. Be at minimum level**

Price ceilings:

- A. Always decrease consumer surplus.**
- B. May decrease consumer surplus if demand is sufficiently inelastic.**
- C. May decrease consumer surplus if demand is sufficiently elastic.**
- D. Always increase consumer surplus.**

Suppose output of two automobile firms, one is producing cars and other is producing trucks, is less than the output of another automobile firm producing both cars and trucks jointly. We can conclude that the production process involves:

- A. Economies of scale.**
- B. Increasing returns to scale.**
- C. Economies of scope.**
- D. Decreasing returns to scale.**

At equilibrium, monopolist will charge a _____ price and sell a _____ quantity as compared to perfectly competitive firm.

- A. Lower; larger**
- B. Higher; larger**
- C. Higher; smaller**
- D. Lower; smaller**

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All of the following factors determine the degree of monopsony power EXCEPT:

- A. Interaction among buyers
- B. Elasticity of market demand
- C. **Number of buyers in the market**
- D. Elasticity of market supply

Which of the following is not an example of joint production?

- A. Automobile company--cars and trucks
- B. textile industry—garments and shoes
- C. University--Teaching and research
- D. **Chicken farm--poultry and eggs**

Revenue is equal to:

- A. Price times quantity minus marginal cost.
- B. Price times quantity minus average cost.
- C. Price times quantity minus total cost. **D. Price times quantity.**

Suppose Fauji Fertilizer Company Limited spends Rs. 10000 on two inputs, labor (graphed on the horizontal axis) and capital (graphed on the vertical axis)

to produce 10 bags of Urea. If the wage rate is Rs. 100 per hour and the rental cost of capital is Rs. 200 per hour, then slope of the Isocost line will be:

- A. -1/200
- B. -2
- C. **1/2**

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D. -200

The additional revenue from producing one more unit of output is called:

- A. Average revenue
- B. **Marginal revenue**
- C. Total revenue
- D. Slope of average revenue

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